

their goods, not out of public-spiritedness, but because they want to make money. They can only sell if there are customers who want their goods, so they produce goods that there is a market for and they stop producing goods for which there is no demand. It is the market, made up of individual transactions, that matches goods with the customers' wants and needs. Smith described the action of the market as being like an invisible hand that guides us to the most efficient allocation of resources, and a fair distribution of goods and services. Each individual, either as a customer or supplier, makes perfectly rational decisions about what to buy or sell, in their own self-interest, but collectively these act for the good of society as a whole. In a perfect market, supply and demand will eventually balance one another, and ensure the best possible distribution of goods. What's more, in a perfect market, the buyer and seller both do well out of the deal. Customers get the goods and services they want, and suppliers make a profit from selling their goods.